could supply timely funds to these firms so that they could continue their production process. Such funds are required usually for a short period (days, fortnights, few months) of time and thus are considered as their working capital requirements. The segment of financial market which caters to the short-term requirements of such funds for the eneterprises is known as the ***money market*** or the ***working capital market*** of the economy. The short-term period is defined as upto 364 days.

The crucial role money market plays in an economy is proved by the fact that if only a few lakhs or crores of rupees of working capital is not met in time, it can push a firm or business enterprise to go for lock-out set up with thousands of crores of capital. If lock-out happens, the firm might default in its payments losing its age-old credit-worthiness! This is why it is essential for every economy to organise a strong and vibrant money market which has wider geographic presence (the reason why it is today internet-based).

Which of the components of the financial market is more important for an economy, money market or capital market? This question is not logical, as both are complementary to each other. If the financial market needs to serve its real purpose for the economy, both the segments need strengthening and vibrancy.

## MONEY MARKET IN INDIA

The organised form of money market in India is just about two decades old. However, its presence has been there but restricted to the use of the Government only[12]. It was the ***Chakravarthy Committee*** (1985) which for the first time underlined the need of an organised money market in the country[13] and the ***Vahul Committee*** (1987) laid the blue print for its development[14].

Money market in India is not an integrated unit and today it has two segments:

1. Unorganised Money Market
2. Organised Money Market